

Patience

Patience will be tested at the core

- A company appears to be very good as per our analysis. However, if it is trading at a high price, and if the exit multiple metrics show negative expected returns then it is a bad investment. As a result, a good company does not always imply a good investment.
- If it is truly a good company, we will wait a few months or even years until the market provides us with an opportunity or the price falls into the lower quarter of the valuation band.
- This reduces our chances of overpaying for positive sentiments, protects our downside, and creates room for upside.
- If we pay a high price for stocks, we are already paying most of the value to the markets. This leaves little upside for us.

With patience, we experience fear of missing out.

Once we have identified good companies, we don't want to miss out on them. We start believing that other investors are making a profit from these companies. However, we must remember that the prudent course of action is to wait because acquiring a good company at a high valuation does not guarantee a good investment outcome. We will only buy it when the price makes sense to us as well. Even if this means letting a few companies go, so be it. Discipline and consistency are the keys to good investment decisions.

Good Companies at Attractive Valuations

We should analyze a company based on various assessments such as industry, management, and its financials and then determine if it is a good company. Once we like a company and its fundamentals, we must wait for attractive valuation. If we only do one or two, we will end with poor return.

Good companies in terms of financials

Attractive valuations

combining these gives a good chance of generating **good returns.**